Home Loan Knowledge Base

Sample Document for Mini RAG Project

This document contains fictional, educational information about home loans.

All data, examples, and cases are illustrative and not based on any real institution.

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1. Introduction to Home Loans

What is a Home Loan?

A home loan, also known as a housing loan or mortgage loan, is a financial product offered by lenders such as banks, housing finance companies, and non-banking financial institutions. It enables individuals to purchase, construct, or renovate residential property. The borrower receives a lump sum amount and repays it over a fixed period through regular installments called Equated Monthly Installments (EMIs).

Purpose of a Home Loan

Home loans serve multiple purposes:

- Purchasing a ready-to-move residential property
- Constructing a house on owned land
- Renovating or extending an existing home
- Transferring an existing home loan to another lender for better terms (balance transfer)
- Purchasing a plot of land for future construction

Secured Loan Concept

A home loan is a secured loan, meaning the property being purchased or constructed serves as collateral. If the borrower fails to repay the loan as per the agreed terms, the lender has the legal right to take possession of the property and sell it to recover the outstanding amount. This security reduces the risk for the lender, which often results in lower interest rates compared to unsecured loans like personal loans or credit cards.

How Home Loans Work

The home loan process begins when an applicant submits a loan application along with required documents. The lender assesses the applicant's eligibility based on factors such as income, credit history, employment stability, and the value of the property. Upon approval, the lender sanctions a specific loan amount. After legal and technical verification of the property, the loan agreement is signed, and the amount is disbursed either in full or in stages. The borrower then repays the loan through EMIs over the agreed tenure.

2. Home Loan Eligibility

Lenders evaluate multiple criteria before approving a home loan. Key eligibility factors include:

Age

Most lenders require applicants to be between 21 and 65 years of age. The maximum age at loan maturity typically ranges from 65 to 70 years. Younger applicants may qualify for longer tenures, while older applicants may face restrictions on tenure length.

Income

Stable and sufficient income is crucial. Lenders generally prefer that the EMI does not exceed 40–50% of the applicant's monthly income. Higher income increases the eligible loan amount.

Employment Stability

For salaried individuals, lenders look for at least 2–3 years of total work experience with a minimum of 1 year in the current organization. Self-employed individuals should have a stable business history of at least 3–5 years.

Credit History

A good credit score (typically 750 or above) indicates responsible credit behavior and increases the chances of loan approval. Late payments, defaults, or high credit utilization can negatively impact eligibility.

Existing Financial Obligations

Lenders consider existing loans such as car loans, personal loans, or credit card dues. High existing debt reduces the eligible home loan amount as it affects the borrower's repayment capacity.

Property Value

The value of the property being purchased affects the loan amount. Lenders typically finance 75–90% of the property's market value or agreement value, whichever is lower. The remaining amount must be paid by the borrower as a down payment.

3. Salaried Applicant

Eligibility

Salaried individuals are among the most preferred applicants for home loans. Lenders look for:

- Minimum age of 21 years
- Maximum age of 60–65 years at loan maturity
- Minimum monthly income of ■25,000–■30,000 (varies by lender and city)
- At least 2 years of total work experience
- Minimum 1 year with current employer

Income Assessment

Lenders assess income through salary slips, Form 16, and Income Tax Returns (ITR). They calculate the Fixed Obligation to Income Ratio (FOIR), which should typically be below 50%. Bonuses, allowances, and other regular income sources may also be considered.

Required Documents

- Identity proof (Aadhaar, PAN, Passport, Voter ID)
- Address proof (Aadhaar, Utility bills, Rental agreement)
- Latest 3–6 months' salary slips
- Form 16 for the last 2 years
- Income Tax Returns (ITR) for the last 2–3 years
- Bank statements for the last 6 months
- Employment certificate or appointment letter

Employment Verification

Lenders may verify employment by contacting the employer directly or through third-party verification agencies. They confirm the applicant's designation, salary, and tenure with the organization.

4. Self-Employed Applicant

Eligibility

Self-employed individuals include business owners, professionals (doctors, lawyers, architects), and consultants. Eligibility criteria include:

- Minimum age of 21 years
- Maximum age of 65–70 years at loan maturity
- Minimum annual income of ■6–10 lakhs (varies by lender)
- Business stability of at least 3–5 years

- Positive net worth and healthy cash flows

Business Income Assessment

Lenders assess business income through audited financial statements, Income Tax Returns, and bank statements. They analyze profitability, revenue growth, and debt-to-income ratio. For professionals, income is assessed through practice income and client billing.

Required Documents

- Identity and address proof (same as salaried)
- Business proof (GST registration, Trade license, Partnership deed, MOA/AOA)
- Audited financial statements (Balance Sheet, Profit & Loss Account) for last 2–3 years
- Income Tax Returns with computation of income for last 3 years
- Bank statements for last 12 months
- CA-certified net worth statement

Financial Statements

Lenders scrutinize financial statements to ensure business viability. They look for consistent profits, low debt levels, and adequate cash reserves. Sudden drops in income or high leverage may lead to rejection or reduced loan amount.

5. Loan Amount

Factors Affecting Sanctioned Amount

The loan amount sanctioned depends on multiple factors:

- Applicant's income and repayment capacity
- Credit score and credit history
- Existing financial obligations
- Property value and location
- Loan-to-value (LTV) ratio norms
- Lender's internal policies

Property Value

Lenders conduct a technical and legal valuation of the property. The sanctioned loan amount is based on the lower of the agreement value or the lender's assessed market value.

Down Payment

Borrowers must pay a down payment, typically 10–25% of the property value. A higher down payment reduces the loan amount and may result in better interest rates.

Loan-to-Value (LTV) Concept

LTV is the ratio of the loan amount to the property's market value. For example, if a property is valued at ■50 lakhs and the lender offers 80% LTV, the maximum loan amount is ■40 lakhs. Regulatory guidelines often cap LTV at 75–90% depending on the loan amount.

Fictional Examples

Example	Property Value	LTV %	Down Payment	Loan Amount
1	■45,00,000	85%	■6,75,000	■38,25,000
2	■75,00,000	80%	■15,00,000	■60,00,000
3	■1,20,00,000	75%	■30,00,000	■90,00,000

Note: These are illustrative examples. Actual LTV norms vary by lender and loan amount.

6. Interest Rates

Fixed Interest Rate

Under a fixed interest rate, the rate remains constant throughout the loan tenure or for a predefined lock-in period. This provides certainty in EMI payments, making budgeting easier. However, fixed rates are typically 0.25–0.50% higher than floating rates initially.

Floating Interest Rate

A floating (or variable) interest rate is linked to an external benchmark such as the lender's Marginal Cost of Funds-based Lending Rate (MCLR) or the Reserve Bank's repo rate. The rate may increase or decrease based on market conditions. Floating rates often start lower than fixed rates but carry the risk of future increases.

Difference Between Fixed and Floating Rates

Fixed rates offer stability but may cost more over time if market rates fall. Floating rates can be beneficial if market rates decline but pose a risk if rates rise significantly. Borrowers who prefer predictability may choose fixed rates, while those comfortable with some risk may opt for floating rates.

Factors That May Affect Interest Rates

- Applicant's credit score (higher score may get lower rate)
- Loan amount and LTV ratio
- Type of property (ready-to-move vs under-construction)
- Lender's cost of funds and market conditions
- Relationship with the lender (existing customer may get preferential rate)
- Gender (some lenders offer lower rates for women borrowers)

7. EMI (Equated Monthly Installment)

Meaning of EMI

EMI is the fixed amount paid by the borrower to the lender every month until the loan is fully repaid. Each EMI consists of two components: principal and interest. In the initial years, the interest component is higher, while the principal component increases over time.

Principal Component

The principal component is the portion of the EMI that reduces the outstanding loan balance. As the loan matures, this component increases.

Interest Component

The interest component is the cost of borrowing, calculated on the outstanding principal. It is higher in the early years of the loan.

Factors Affecting EMI

- Loan amount: Higher loan = higher EMI
- Interest rate: Higher rate = higher EMI
- Loan tenure: Longer tenure = lower EMI but higher total interest

Fictional EMI Examples

Loan Amount	Interest Rate	Tenure	Monthly EMI	Total Interest
■30,00,000	8.50%	15 years	■29,621	■23,31,780
■50,00,000	8.75%	20 years	■44,334	■56,40,160
■75,00,000	9.00%	25 years	■62,925	■1,13,77,500

Note: EMI calculated using standard formula. Actual EMI may vary slightly based on lender's calculation method.

8. Loan Tenure

Short Tenure vs Long Tenure

Loan tenure typically ranges from 5 to 30 years. A shorter tenure means higher EMIs but lower total interest. A longer tenure reduces the monthly EMI burden but increases the total interest paid over the life of the loan.

Effect on EMI

For the same loan amount and interest rate, extending the tenure reduces the EMI. For example, a ■50 lakh loan at 8.5% for 15 years has an EMI of approximately ■49,000, while the same loan for 25 years has an EMI of around ■40,000.

Effect on Total Interest

While a longer tenure reduces EMI, it significantly increases total interest. Using the above example, the 15-year loan incurs total interest of about ■38 lakhs, whereas the 25-year loan incurs about ■70 lakhs in interest.

Examples

Loan Amount	Interest Rate	Tenure	Monthly EMI	Total Interest Payable
■40,00,000	8.50%	10 years	■49,521	■19,42,520
■40,00,000	8.50%	20 years	■34,665	■43,19,600
■40,00,000	8.50%	30 years	■30,719	■70,58,840

Observation: Doubling the tenure from 10 to 20 years reduces EMI by about 30%, but total interest more than doubles.

9. Documents Required

Identity Documents

- Aadhaar Card
- PAN Card
- Passport
- Voter ID Card
- Driving License

Address Documents

- Aadhaar Card (if address is current)
- Utility bills (electricity, water, gas) not older than 3 months
- Rental agreement (if applicable)
- Property tax receipt
- Passport (if address is current)

Income Documents (Salaried)

- Latest 3–6 months' salary slips
- Form 16 for last 2 years
- Income Tax Returns (ITR) with acknowledgment for last 2–3 years
- Bank statements for last 6 months showing salary credits

Income Documents (Self-Employed)

- Audited financial statements for last 2–3 years
- Income Tax Returns with computation of income for last 3 years
- Bank statements for last 12 months
- CA-certified net worth statement
- Business proof (GST, Trade license, etc.)

Bank Documents

- Cancelled cheque of the account where EMI will be debited
- Bank statements as mentioned above
- Proof of existing loans (if any)

Employment Documents

- Employment certificate / Appointment letter
- Latest promotion letter (if applicable)
- Business continuity proof (for self-employed)

Property Documents

- Sale agreement / Builder-buyer agreement
- Title deed of the property
- Property tax receipts
- Encumbrance certificate
- Approved building plan
- Occupancy certificate (for ready-to-move)
- Allotment letter (for under-construction)

10. Home Loan Application Process

The home loan application process involves the following steps:

Step 1: Application

The applicant fills out the loan application form, either online or at a branch, providing personal, employment, and property details.

Step 2: Document Submission

The applicant submits all required documents as per the lender's checklist. Incomplete documentation can delay processing.

Step 3: Credit Assessment

The lender verifies the applicant's credit score and credit history from credit bureaus. They assess repayment capacity based on income, existing obligations, and other factors.

Step 4: Property Verification

The lender conducts legal and technical verification of the property to ensure clear title, proper approvals, and accurate valuation.

Step 5: Approval / Sanction

Upon satisfactory verification, the lender issues a sanction letter specifying the loan amount, interest rate, tenure, and terms and conditions.

Step 6: Agreement

The borrower signs the loan agreement, which outlines all terms, including EMI schedule, charges, prepayment conditions, and default consequences.

Step 7: Disbursement

After agreement execution and completion of all formalities, the lender disburses the loan amount either in full (for ready-to-move properties) or in stages (for under-construction properties).

Step 8: EMI Repayment

The borrower begins repaying EMIs from the month following disbursement (or as per agreement). EMIs are typically auto-debited from the borrower's bank account.

11. Credit Score

What is a Credit Score?

A credit score is a numerical representation of an individual's creditworthiness, typically ranging from 300 to 900 in India. It is calculated by credit bureaus based on credit history, repayment behavior, credit utilization, and other factors. A score of 750 or above is generally considered good.

Why is Credit History Important?

Credit history reflects how responsibly an individual has managed credit in the past. Lenders use it to predict future repayment behavior. A strong credit history increases the chances of loan approval and may result in better interest rates.

Effect of Late Payments

Late payments, even by a few days, are reported to credit bureaus and can lower the credit score. Repeated late payments or defaults severely damage the score and may lead to loan rejection.

Effect of Existing Loans

Having multiple active loans or high credit card utilization indicates higher financial stress. This can reduce the eligible loan amount or lead to higher interest rates. However, a well-managed mix of credit (e.g., home loan + credit card paid in full) can positively impact the score.

Credit Report Checking

Individuals can check their credit report from any of the four major credit bureaus in India. It is advisable to check the report at least once a year to ensure accuracy and dispute any errors. Many lenders also provide free credit score checks to their customers.

12. Property Verification

Legal Verification

Lenders engage legal experts to verify the property's title deeds, encumbrance certificates, and other legal documents. They ensure the seller has clear ownership, there are no legal disputes, and the property is free from liens or mortgages.

Technical Verification

A technical valuer inspects the property to assess its construction quality, age, condition, and market value. They verify whether the construction adheres to approved plans and local regulations.

Ownership Documents

Key ownership documents include the sale deed, mother deed, property tax receipts, and encumbrance certificate. For apartments, the society's registration documents and share certificate are also verified.

Property Valuation

The valuer determines the market value of the property based on location, size, age, amenities, and recent transactions in the area. The loan amount is based on this valuation or the agreement value, whichever is lower.

Common Issues

- Disputed ownership or multiple claimants
- Missing or incomplete approvals from local authorities
- Property mortgaged to another lender
- Encroachments or boundary disputes
- Non-payment of property taxes or utility dues

13. Loan Approval

Factors Considered by Lender

- Credit score and credit history
- Income stability and repayment capacity
- Employment or business continuity
- Property value and legal clarity
- Loan-to-value ratio
- Existing financial obligations

Possible Reasons for Delay

- Incomplete or incorrect documentation
- Discrepancies in credit report
- Legal or technical issues with the property
- High workload at the lender's end
- Need for additional clarification or documents

Possible Reasons for Rejection

- Low credit score (below 650–700)
- Insufficient income or high FOIR
- Unstable employment or business
- Property with legal or technical issues

- Existing high debt burden

Applicant Responsibilities

Applicants should ensure all documents are accurate and complete, respond promptly to lender queries, avoid taking new loans during the application process, and maintain a healthy credit profile.

14. Loan Disbursement

Full Disbursement

For ready-to-move properties, the entire loan amount is disbursed in one go after all formalities are completed. The payment is made directly to the seller or builder.

Stage-wise Disbursement

For under-construction properties, the loan is disbursed in stages linked to construction milestones (e.g., foundation, slab, roofing, completion). The borrower pays only interest on the amount disbursed until full disbursement, after which regular EMIs begin.

Construction Property

If the borrower is constructing a house on owned land, disbursement occurs in stages based on construction progress verified by the lender's engineer. The borrower must submit progress reports and photographs at each stage.

Ready-to-Move Property

For ready-to-move properties, full disbursement happens after the sale agreement is registered and all legal formalities are complete. The borrower starts paying full EMIs immediately.

15. Prepayment and Foreclosure

Meaning of Prepayment

Prepayment refers to paying off part or all of the loan before the end of the tenure. This reduces the outstanding principal and, consequently, the total interest payable.

Part-Prepayment

Part-prepayment involves paying a portion of the outstanding loan. Borrowers can either reduce the EMI amount or keep the EMI same and reduce the tenure. Most lenders allow part-prepayment after a lock-in period (e.g., 1 year) with or without charges.

Full Foreclosure

Full foreclosure means paying off the entire outstanding loan amount. For floating-rate home loans, lenders typically do not charge prepayment penalties for individual borrowers. For fixed-rate loans, a penalty of 2–5% may apply.

Possible Charges

- Prepayment penalty (for fixed-rate loans or certain loan types)
- Administrative or processing charges for prepayment
- Legal charges for NOC and lien removal

Important Things to Check Before Prepayment

- Whether prepayment charges apply
- Minimum amount required for part-prepayment
- Whether to reduce EMI or tenure
- Impact on tax benefits
- Availability of surplus funds for emergencies

16. Home Loan Charges

Lenders levy various charges in addition to interest. Below are fictional examples for illustration:

Charge Type	Typical Range	Example Amount (₹)	Remarks
Processing Fee	0.25% – 1% of loan	₹35,000 on ₹50 lakh loan	One-time, may be capped
Legal Verification Fee	₹3,000 – ₹10,000	₹5,000	Paid to empaneled lawyer
Technical Evaluation Fee	₹2,000 – ₹8,000	₹4,000	Paid to valuer
Documentation Charges	₹500 – ₹2,000	₹1,000	For agreement preparation
Stamp Duty & Registration	As per state govt rates	Varies	Paid to government
Prepayment Penalty (Fixed Rate)	2% – 5% of prepaid amount	₹20,000 on ₹5 lakh prepayment	Not applicable on floating for individuals
Late Payment Charges	1% – 2% per month	₹1,500 on overdue EMI	Applied on overdue amount
Loan Conversion Fee	0.5% – 1% of outstanding	₹15,000	For switching from fixed to floating
NOC / Lien Removal Charge	₹500 – ₹2,000	₹1,000	After full repayment

Note: Actual charges vary by lender, loan type, and location. Always check the lender's schedule of charges.

17. Sample Loan Cases

Case 1: Young Salaried Professional

- Customer Type: Salaried, Software Engineer
- Monthly Income: ■85,000
- Property Value: ■65,00,000
- Loan Amount: ■55,00,000
- Interest Rate: 8.65% (floating)
- Tenure: 25 years
- Purpose: Purchase of ready-to-move 2BHK apartment
- Observations: Good credit score (780), no existing loans, FOIR at 38%, eligible for maximum LTV.

Case 2: Self-Employed Business Owner

- Customer Type: Self-Employed, Textile Business
- Annual Income: ■18,00,000 (average last 3 years)
- Property Value: ■1,10,00,000
- Loan Amount: ■85,00,000
- Interest Rate: 9.10% (floating)
- Tenure: 20 years
- Purpose: Purchase of independent house
- Observations: Credit score 740, existing car loan EMI ■25,000, business stable for 8 years, LTV restricted to 77% due to high loan amount.

Case 3: Middle-Aged Salaried with Existing Loan

- Customer Type: Salaried, Bank Manager
- Monthly Income: ■1,20,000
- Property Value: ■90,00,000
- Loan Amount: ■60,00,000
- Interest Rate: 8.50% (floating)
- Tenure: 15 years
- Purpose: Balance transfer of existing home loan + top-up
- Observations: Credit score 810, existing home loan with another bank, seeking lower rate, FOIR at 42% including all EMIs.

Case 4: Young Couple, Dual Income

- Customer Type: Salaried (Joint Applicants)
- Combined Monthly Income: ■1,50,000

• Property Value: ■1,25,00,000

• Loan Amount: ■1,00,00,000

• Interest Rate: 8.40% (floating, women co-applicant benefit)

• Tenure: 25 years

• Purpose: Purchase of under-construction 3BHK

• Observations: Both credit scores above 770, no existing loans, stage-wise disbursement applicable, interest-only payments during construction.

Case 5: Self-Employed Professional with Variable Income

• Customer Type: Self-Employed, Doctor

• Annual Income: ■22,00,000 (average, but fluctuating)

• Property Value: ■1,40,00,000

• Loan Amount: ■95,00,000

• Interest Rate: 9.25% (floating)

• Tenure: 18 years

• Purpose: Construction of house on owned plot

• Observations: Credit score 720, income fluctuates seasonally, lender applied conservative income assessment, LTV at 68%, stage-wise disbursement based on construction milestones.

18. Frequently Asked Questions

Q1: What is the minimum credit score required for a home loan?

A1: While there is no fixed minimum, a credit score of 750 or above is generally preferred for easy approval and better interest rates. Scores below 650 may face rejection or higher rates.

Q2: Can I get a home loan with a low credit score?

A2: It is possible but difficult. Lenders may charge higher interest rates or require a higher down payment. Improving the score before applying is advisable.

Q3: What is the maximum loan tenure available?

A3: Most lenders offer tenures up to 30 years, subject to the applicant's age and repayment capacity.

Q4: Is a down payment mandatory?

A4: Yes, borrowers must pay a down payment, typically 10–25% of the property value, as lenders finance only 75–90% through the loan.

Q5: Can I prepay my home loan?

A5: Yes, prepayment is allowed. For floating-rate loans to individuals, there is usually no penalty. Fixed-rate loans may attract a prepayment charge.

Q6: What happens if I miss an EMI payment?

A6: Late payment charges are applied, and the delay is reported to credit bureaus, which can lower your credit score. Repeated defaults may lead to legal action.

Q7: Can I get a home loan for a plot of land?

A7: Yes, many lenders offer loans for purchasing residential plots, though the LTV may be lower (typically 70–80%) and tenure shorter.

Q8: What is the difference between agreement value and market value?

A8: Agreement value is the price mentioned in the sale agreement. Market value is the property's assessed worth by the lender's valuer. The loan is based on the lower of the two.

Q9: Can I transfer my existing home loan to another lender?

A9: Yes, this is called a balance transfer. It can help you get a lower interest rate or better service, but check for transfer charges and processing fees.

Q10: Are there tax benefits on home loans?

A10: Yes, borrowers can claim tax deductions on principal repayment (up to ■1.5 lakh under Section 80C) and interest payment (up to ■2 lakh under Section 24) for self-occupied properties.

Q11: What is a sanction letter?

A11: A sanction letter is the lender's formal approval specifying the loan amount, interest rate, tenure, and terms. It is not a guarantee of disbursement until all conditions are met.

Q12: How long does the home loan approval process take?

A12: Typically 7–15 working days after document submission, subject to property verification and credit assessment. Delays can occur due to incomplete documents or legal issues.

Q13: Can NRIs apply for home loans in India?

A13: Yes, NRIs can avail home loans for purchasing residential property in India, subject to certain conditions and documentation.

Q14: What is the role of a co-applicant?

A14: A co-applicant shares repayment responsibility and can help increase eligibility. Spouses, parents, or children can be co-applicants. Their income and credit score are also considered.

Q15: Is insurance mandatory for home loans?

A15: While not legally mandatory, many lenders strongly recommend or require home loan insurance (term insurance covering the loan amount) to protect against default due to death or disability.

19. Home Loan Comparison

Fixed-Rate Loan vs Floating-Rate Loan

Parameter	Fixed-Rate Loan	Floating-Rate Loan
Interest Behaviour	Remains constant throughout the loan period	Changes based on market conditions and benchmark rates
EMI Behaviour	EMI remains constant, easy to budget	EMI may increase or decrease with rate changes
Rate-Change Risk	No risk of rate increase during loan tenure	Risk of rate increase if market rates rise
Initial Rate	Typically 0.25–0.50% higher than floating	Typically lower than fixed initially
Best Suited For	Borrowers who prefer certainty and stable EMIs	Borrowers comfortable with some risk, expecting rates to fall or remain stable
Prepayment Penalty	May attract 2–5% penalty on prepayment	Usually no penalty for individuals on floating rate
Conversion Option	Can convert to floating (may attract conversion fee)	Can convert to fixed (may attract conversion fee and higher rate)

20. Final Summary

Key Takeaways:

• Home loans are secured loans where the property serves as collateral.

• Eligibility depends on age, income, credit score, employment stability, and property value.

• Salaried and self-employed applicants have different documentation and income assessment criteria.

• Loan amount is determined by income, credit profile, and LTV norms (typically 75–90% of property value).

• Interest rates can be fixed (stable) or floating (market-linked). Floating rates are usually lower initially but carry rate-change risk.

• EMI consists of principal and interest components. Longer tenures reduce EMI but increase total interest.

• Comprehensive documentation is required, including identity, address, income, bank, employment, and property documents.

• The application process involves application, document submission, credit assessment, property verification, approval, agreement, disbursement, and EMI repayment.

• A good credit score (750+) is crucial for approval and better rates. Late payments damage credit history.

• Property verification includes legal and technical checks to ensure clear title and accurate valuation.

• Loan approval depends on multiple factors; delays or rejections can occur due to documentation issues, low credit score, or property problems.

• Disbursement can be full (ready-to-move) or stage-wise (under-construction or construction loans).

• Prepayment and foreclosure options allow borrowers to reduce interest burden. Floating-rate loans typically have no prepayment penalty for individuals.

• Various charges apply, including processing fee, legal fee, technical evaluation fee, and documentation charges.

• Understanding loan terms, comparing options, and maintaining a healthy credit profile are essential for a smooth home loan experience.

Sample Test Questions (Answers Found in This Document)

1. What is the typical age range for home loan applicants?

2. What percentage of monthly income should EMI not exceed according to most lenders?

3. Name three documents required from salaried applicants for income proof.

4. What is the minimum business stability period required for self-employed applicants?

5. What is the LTV ratio in the fictional Example 2 under Section 5?

6. What is the typical difference in initial rates between fixed and floating interest rates?

7. In the EMI examples table, what is the monthly EMI for a ■50,00,000 loan at 8.75% for 20 years?

8. What is the effect of extending loan tenure from 10 to 20 years on total interest, as per Section 8?

9. Name two common issues that can arise during property verification.

10. What is the prepayment penalty range for fixed-rate home loans?